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Technology - European Semiconductors | Europe

Structural Re-rate Has Further to Run

WHAT'S CHANGED

Infineon Technologies AG (IFXGn.DE)	From	To
Price Target	€63.00	€91.00
STMicroelectronics NV (STMPA.PA)		
Price Target	€46.00	€74.00

Cyclical recovery is clear but structural drivers remain underappreciated for Infineon and STMicro. We gain confidence on Infineon's power semi deployment in the data centre and STMicro's exposure to opticals and low-earth-orbit satellites.

Key Takeaways

- We lift our Infineon Technologies PT to €91 on higher power semi dollar content per rack.
- We move to a SOTP valuation framework for STMicroelectronics and lift our PT to €74, recognising the optical and LEO drivers.
- Cyclical recovery supports this as both companies talk to lower inventories, improved lead times and rising orders.
- While Infineon and STMicro have had a strong performance YTD (+100% and +147% respectively), we think the structural drivers remain undervalued.

Structural tailwinds drive our Analog PTs higher. While cyclical recovery is important, the main lever of our PT hikes is upside from structural drivers. For Infineon this is power semi deployment in the data centre, whereas for STMicroelectronics this is optical networking and low-earth-orbit satellites. As we did in January for Infineon, see [A Structural Play Hiding in our Midst](#), we now also move to valuing STMicroelectronics on a Sum-of-the-Parts basis. We value the optical and LEO business on a 36x multiple, vs the core business on an 18x multiple. We lift our Infineon data centre multiple to 50x and core cycle multiple to 24x. For the core business, both companies speak to improving end-market dynamics and evidence of a cyclical recovery.

Infineon Technologies OW, PT €91. We reiterate our thesis and lift our PT to €91 as we gain confidence in Infineon's full-stack power semi opportunity in AI data centres. We raise our dollar-content assumptions for Rubin Ultra and Feynman, reflecting GaN content in the IBC and higher lateral VRM content as Agentic AI drives incremental CPU demand. This takes our Rubin Ultra power semi estimate to \$170/kW. Near term, we see the 1 July Dresden "Smart Power Fab" opening as a key catalyst opportunity, showcasing Infineon's manufacturing capability and potentially bringing an update on data centre revenue. The broader cycle is also turning: the 2Q print confirmed lower customer inventories, better lead times and rising order

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intake, consistent with global analog peers. Despite the stock's 94% rise since April, we still see Infineon as undervalued and raise our SOTP valuation. We move the data centre business to 50x 1-year forward P/E, still at a discount to Monolithic Power Systems, and lift the core cycle multiple to 24x from 20x, in line with peak analog cycle multiples and supported by improving visibility and end-market recovery.

STMicroelectronics OW, PT €74. Given the scale of the optical and LEO opportunities, we now move to valuing STM on an FY28e SOTP framework. We continue to expect opticals to become an increasing share of the business as data centre networking shifts from copper to photonics while LEO is also emerging as a material growth vector. We view LEO sales growth as primarily led by user terminals, and lift our FY27 LEO sales estimate to \$1.25bn from \$1.08bn, driven by a higher 52% FY26-28 user-terminal CAGR. As with Infineon, the underlying business is improving with better visibility and easing pricing pressure. We value the core business at 18x, consistent with the cyclical story, and optical/LEO at 36x to reflect structural growth potential. This implies a €74 PT.

Infinion (OW, €91)

Revisiting our server rack estimates. For our estimates of power semi content in NVIDIA racks, we readjust our dollar content assumptions for Rubin Ultra and Feynman racks, with greater weighting toward Intermediate Bus Conversion (IBC) in the first stage and lateral VRM in the second stage. As a reminder, the IBC sits after the power supply unit (PSU) in the rack and represents the first point in the power chain where GaN dominates. We lift our dollar content estimate for IBC in Rubin Ultra racks to \$16,560 (prior \$6,210) and to \$27,600 in Feynman racks (prior \$10,350), to reflect significant GaN content in the element. We also rebalance our estimates to reflect the growth of Agentic AI and the consequential demand for CPUs; see our Global Insight [Rise of the AI Agent - Global Implications](#) for further detail. In this instance, we think lateral power delivery would be more prevalent, and as such, within our second-stage estimates, we lift our lateral VRM dollar content assumptions to \$21,528 and \$37,440 in Rubin Ultra and Feynman racks, respectively (prior \$18,216 and \$28,800), while leaving our VPD/SiVR estimates unchanged. **All in, this lifts our power semi estimate for Rubin Ultra racks to \$170/kW (prior \$159/kW).**

Exhibit 1: Infineon IBC Solutions

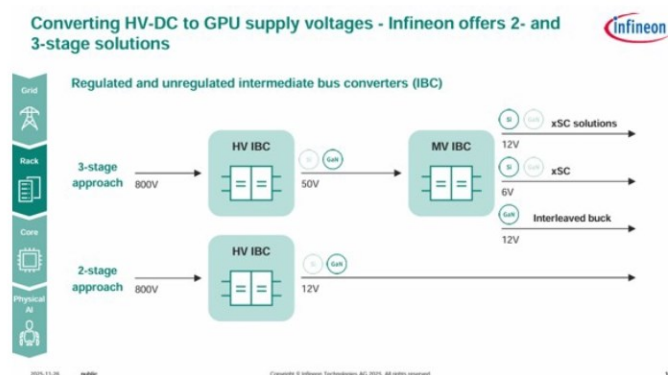
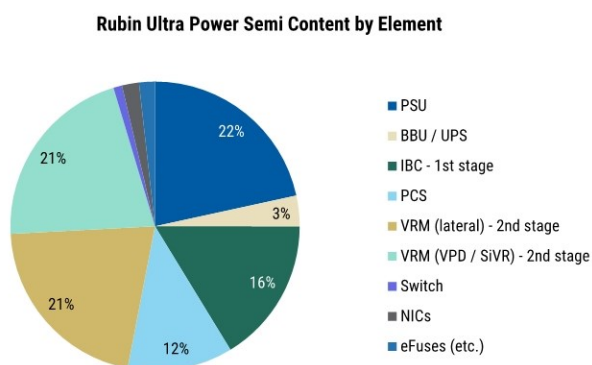


Exhibit 2: Rubin Ultra Power Semi Content by Element



Eyes on Dresden. Infineon is hosting the opening of its Dresden fab module on 1 July for sell-side analysts, and will livestream the event on 2 July [here](#). The Dresden 4 fab was first announced in November 2022 and was originally planned as a 300mm analog/mixed signal and power switches facility. However, Dresden has since been highlighted by management on recent earnings calls as key to meeting AI data centre demand, labelled as a “Smart Power Fab.” We view the event as a potential catalyst for the stock, as it not only highlights Infineon’s power semi manufacturing capability, but our sense is that management may also provide an update on data centre revenue.

More to come for the cycle. The 2Q print marked a clear shift in end-market dynamics (see [Cyclical Recovery Confirmed](#)). Management spoke confidently on continued recovery across industrial distribution channels as well as broader replenishment in the automotive segment. Lead times are improving, customer inventories are low and order intake is rising. Global analog peers’ prints reaffirm these dynamics with many citing broad-based strength across end markets (see [Global Analog Semis - Is This Time Different?](#)).

Lift our PT to €91. In February we moved to valuing Infineon on a sum-of-the-parts basis, *A Structural Play Hiding in our Midst*, to reflect the divergent growth profiles between the data centre business and the remainder of the group. While the stock has risen 94% since April, we think Infineon remains undervalued given the company's full stack power semi solutions for the data centre. As we gain increasing confidence in Infineon's role in both Nvidia and TPU racks, we move to valuing the data centre business at a 50x P/E multiple on FY28e. This remains a discount to US peer, Monolithic Power Systems, which trades on a 55x P/E multiple. We also lift our cycle multiple to 24x (prior 20x), in-line with the analog sector's peak cycle multiple and reflecting improving visibility, better end-market dynamics and cyclical recovery. All in, this raises our PT to €91.

Infineon Financials

Exhibit 3: IFX Annual Income Statement

Annual Income Statement	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Revenues	7,063	7,599	8,029	8,567	11,060	14,218	16,308	14,956	14,662	16,170	18,138	20,080
Cost of goods Sold	-4,442	-4,714	-5,035	-5,791	-6,800	-8,087	-8,894	-8,798	-8,909	-9,529	-9,994	-10,534
Gross profit	2,621	2,885	2,994	2,776	4,260	6,131	7,414	6,158	5,753	6,642	8,144	9,546
Gross Profit - Adjusted	2,712	2,954	3,056	3,126	4,581	6,447	7,717	6,462	6,068	7,002	8,488	9,890
R&D	-776	-836	-945	-1,113	-1,449	-1,798	-1,985	-2,074	-2,228	-2,529	-2,505	-2,666
SG&A	-819	-850	-865	-1,042	-1,354	-1,565	-1,599	-1,553	-1,582	-1,641	-1,782	-1,846
Other income/(expenses)	-43	270	-23	-40	14	77	117	-340	-429	-137	1	-302
EBIT (reported)	983	1,469	1,161	581	1,471	2,845	3,947	2,191	1,514	2,334	3,858	4,732
Segment Result ('Adjusted EBIT')	1,208	1,353	1,319	1,170	2,072	3,378	4,398	3,104	2,559	3,165	4,512	5,461
Adjusted EBITDA	2,020	2,214	2,264	2,430	3,585	5,041	6,152	4,970	4,476	5,123	6,795	7,957
Net Financials	-50	-58	-78	-157	-152	-122	-25	-31	-139	-161	36	135
PBT (reported)	933	1,411	1,083	424	1,319	2,723	3,922	2,160	1,375	2,174	3,894	4,866
Adjusted PBT	1,970	2,156	2,186	2,273	3,433	4,919	6,127	4,939	4,337	4,962	6,831	8,092
Income Tax	-142	-193	-194	-52	-144	-538	-783	-379	-370	-517	-779	-973
Net Income (reported)	791	1,218	889	372	1,175	2,185	3,139	1,781	1,005	1,656	3,115	3,893
Adjusted Net Income	967	1,116	1,041	814	1,564	2,574	3,467	2,441	1,818	2,282	3,612	4,449
EPS (€) - Basic	0.70	1.08	0.76	0.29	0.90	1.68	2.41	1.37	0.77	1.27	2.39	2.99
EPS (€) - Diluted	0.70	1.07	0.76	0.29	0.90	1.68	2.40	1.36	0.77	1.26	2.37	2.96
Adjusted EPS (€) - Diluted	0.85	0.98	0.89	0.64	1.20	1.97	2.65	1.87	1.39	1.74	2.75	3.39
DPS (€)	0.22	0.25	0.26	0.27	0.22	0.27	0.32	0.35	0.35	0.35	0.35	0.35
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Sales growth - yy	9%	8%	6%	7%	29%	29%	15%	-8%	-2%	10%	12%	11%
Gross margin - Adjusted	38.4%	38.9%	38.1%	36.5%	41.4%	45.3%	47.3%	43.2%	41.4%	43.3%	46.8%	49.3%
EBIT margin (reported)	13.9%	19.3%	14.5%	6.8%	13.3%	20.0%	24.2%	14.6%	10.3%	14.4%	21.3%	23.6%
Segment margin	17.1%	17.8%	16.4%	13.7%	18.7%	23.8%	27.0%	20.8%	17.5%	19.6%	24.9%	27.2%
EBITDA margin	28.6%	29.1%	28.2%	28.4%	32.4%	35.5%	37.7%	33.2%	30.5%	31.7%	37.5%	39.6%
PBT margin - Adjusted	27.9%	28.4%	27.2%	26.5%	31.0%	34.6%	37.6%	33.0%	29.6%	30.7%	37.7%	40.3%
Net margin (reported)	11.2%	16.0%	11.1%	4.3%	10.6%	15.4%	19.2%	11.9%	6.9%	10.2%	17.2%	19.4%
Net margin - Adjusted	13.7%	14.7%	13.0%	9.5%	14.1%	18.1%	21.3%	16.3%	12.4%	14.1%	19.9%	22.2%
Effective tax rate	-15%	-14%	-18%	-12%	-11%	-20%	-20%	-18%	-27%	-24%	-20%	-20%

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: IFX Quarterly Income Statement

Quarterly Income Statement	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26	3Q26e	4Q26e	FY26e
Revenues	3,424	3,591	3,704	3,943	14,662	3,662	3,813	4,106	4,590	16,170
Cost of goods Sold	-2,081	-2,200	-2,189	-2,439	-8,909	-2,200	-2,335	-2,376	-2,618	-9,529
Gross profit	1,343	1,391	1,515	1,504	5,753	1,462	1,478	1,730	1,972	6,642
Gross Profit - Adjusted	1,407	1,467	1,591	1,603	6,068	1,575	1,563	1,811	2,053	7,002
R&D	-544	-559	-560	-565	-2,228	-626	-612	-612	-679	-2,529
SG&A	-395	-376	-410	-401	-1,582	-409	-379	-408	-445	-1,641
Other income/(expenses)	-86	-138	-121	-84	-429	-39	-28	-35	-35	-137
EBIT (reported)	318	318	424	454	1,514	388	459	675	812	2,334
Segment Result ('Adjusted EBIT')	573	601	668	717	2,559	655	653	860	997	3,165
Adjusted EBITDA	1,060	1,084	1,131	1,201	4,476	1,133	1,105	1,365	1,520	5,123
Net Financials	-15	-25	-36	-63	-139	-50	-66	-42	-2	-161
PBT (reported)	303	293	388	391	1,375	338	393	632	810	2,174
Adjusted PBT	1,045	1,059	1,095	1,138	4,337	1,083	1,039	1,322	1,518	4,962
Income Tax	-60	-63	-95	-152	-370	-82	-91	-158	-186	-517
Net Income (cont ops)	243	230	293	239	1,005	256	302	474	624	1,656
Adjusted Net Income	434	447	485	452	1,818	455	450	613	764	2,282
EPS (€) - Basic	0.19	0.18	0.23	0.18	0.77	0.20	0.23	0.36	0.48	1.27
EPS (€) - Diluted	0.19	0.18	0.22	0.18	0.77	0.20	0.23	0.36	0.47	1.26
Adjusted EPS (€) - Diluted	0.33	0.34	0.37	0.35	1.39	0.35	0.34	0.47	0.58	1.74
DPS (€)	0.00	0.35	0.00	0.00	0.35	0.00	0.35	0.00	0.00	0.35
	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26	3Q26e	4Q26e	FY26e
Sales growth - qq	-13%	5%	3%	6%	--	-7%	4%	8%	12%	--
Gross margin - Adjusted	41.1%	40.9%	43.0%	40.7%	41.4%	43.0%	41.0%	44.1%	44.7%	43.3%
EBIT margin (reported)	9.3%	8.9%	11.4%	11.5%	10.3%	10.6%	12.0%	16.4%	17.7%	14.4%
Segment margin	16.7%	16.7%	18.0%	18.2%	17.5%	17.9%	17.1%	20.9%	21.7%	19.6%
EBITDA margin	31.0%	30.2%	30.5%	30.5%	30.5%	30.9%	29.0%	33.2%	33.1%	31.7%
PBT margin - Adjusted	30.5%	29.5%	29.6%	28.9%	29.6%	29.6%	27.2%	32.2%	33.1%	30.7%
Net margin (reported)	7.1%	6.4%	7.9%	6.1%	6.9%	7.0%	7.9%	11.6%	13.6%	10.2%
Net margin - Adjusted	12.7%	12.4%	13.1%	11.5%	12.4%	12.4%	11.8%	14.9%	16.6%	14.1%
Effective tax rate	-20%	-22%	-24%	-39%	-27%	-24%	-23%	-25%	-23%	-24%

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: IFX Annual Balance Sheet

Annual Balance Sheet	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Cash & cash equivalents	860	732	1,021	1,851	1,749	1,438	1,820	1,806	1,356	2,733	4,927	6,889
Financial investments	1,592	1,811	2,758	1,376	2,173	2,279	1,770	395	746	853	853	853
Trade receivables	851	971	1,057	1,196	1,483	1,887	1,991	2,250	2,249	2,652	2,368	2,622
Inventories	1,240	1,480	1,701	2,052	2,181	3,081	3,974	3,990	4,141	3,926	3,887	4,097
Income tax receivable	5	52	83	77	57	58	63	101	73	75	75	75
Other current assets (incl held for sale)	323	377	873	627	609	710	1,074	1,251	1,258	1,470	1,470	1,470
Total current assets	4,871	5,423	7,493	7,179	8,252	9,453	10,692	9,793	9,823	11,710	13,580	16,005
PP&E	2,659	3,038	3,510	4,110	4,443	5,545	7,045	8,002	8,142	8,853	9,345	9,645
Goodwill & Other Intangibles	1,586	1,596	1,805	9,518	9,311	10,566	9,524	9,617	11,123	11,365	11,340	11,294
Investments	28	37	29	87	71	100	114	117	100	111	111	111
Non-Current tax receivables	0	0	0	1	1	2	2	1	20	20	20	20
Deferred tax assets	612	648	599	627	695	527	268	264	250	256	256	256
Other non-current assets	189	137	145	477	561	719	794	845	1,012	1,110	1,110	1,110
Total non-current assets	5,074	5,456	6,088	14,820	15,082	17,459	17,747	18,846	20,647	21,715	22,182	22,435
Total assets	9,945	10,879	13,581	21,999	23,334	26,912	28,439	28,639	30,470	33,425	35,762	38,441
Short-term debt	323	25	22	505	833	752	330	500	1,047	1,282	2,369	1,283
Trade payables	1,020	1,181	1,089	1,160	1,569	2,260	2,765	1,990	2,011	2,917	2,605	2,884
Short-term provisions	422	590	383	436	815	983	799	698	660	748	598	468
Income tax payable	103	117	144	340	288	356	418	301	331	342	225	79
Other current liabilities	230	269	575	1,009	938	1,237	1,357	1,657	1,719	1,852	1,852	1,852
Total current liabilities	2,098	2,182	2,213	3,450	4,443	5,588	5,669	5,146	5,768	7,141	7,649	6,566
Long-term debt	1,511	1,507	1,534	6,528	5,752	4,910	4,403	4,311	5,782	3,703	2,617	2,617
Pensions and commitments	503	552	733	739	617	297	268	303	212	137	137	137
Deferred tax liabilities	18	9	20	293	324	371	254	177	133	157	157	157
Long-term provisions	67	46	283	313	319	289	300	196	111	68	48	48
Other non-current liabilities	112	137	165	457	478	513	501	1,287	1,397	1,226	1,226	1,226
Total non-current liabilities	2,211	2,251	2,735	8,330	7,490	6,380	5,726	6,274	7,635	5,292	4,185	4,185
Total liabilities	4,309	4,433	4,948	11,780	11,933	11,968	11,395	11,420	13,403	12,432	11,834	10,751
Total net assets	5,636	6,446	8,633	10,219	11,401	14,944	17,044	17,219	17,067	20,993	23,928	27,690
Total equity	5,636	6,446	8,633	10,219	11,401	14,944	17,044	17,219	17,051	20,993	23,928	27,690
<i>Net debt:</i>												
Net cash/(debt)	618	1,011	2,223	-3,806	-2,663	-1,945	-1,143	-2,610	-4,727	-1,399	795	3,843
Perpetual bonds (hybrids)	0	0	0	1,203	1,203	1,203	1,203	1,203	602	1,200	1,200	1,200
Net cash/(debt) incl. hybrids	618	1,011	2,223	-5,009	-3,866	-3,148	-2,346	-3,813	-5,329	-2,599	-405	2,643

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: IFX Valuation Matrix and Ratio Analysis

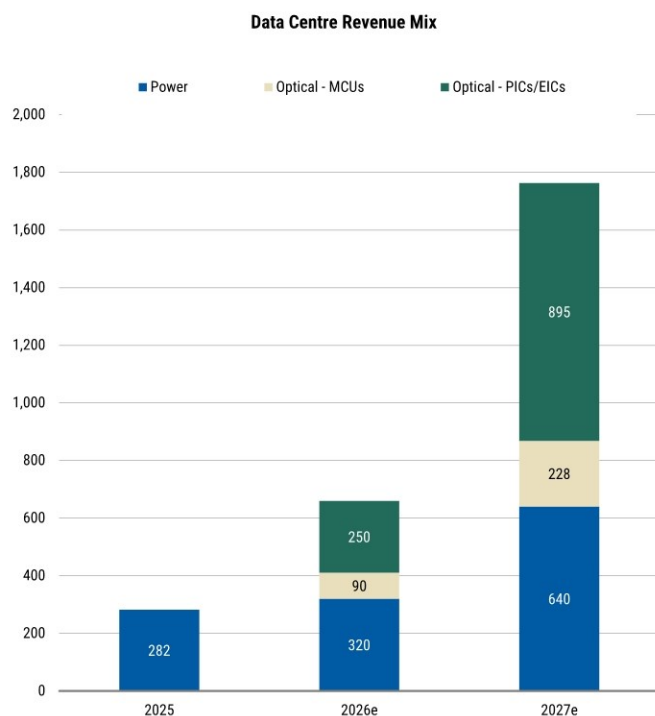
Valuation Matrix (€m)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Share Price (€)	18.0	22.6	17.8	19.6	32.5	31.2	32.9	31.4	33.0	77.0	77.0	77.0
Number of Shares (m)	1,129	1,130	1,163	1,265	1,301	1,302	1,303	1,301	1,301	1,302	1,302	1,302
Market Cap (€m) - average	20,322	25,538	20,701	24,794	42,331	40,630	42,921	40,786	42,886	100,254	100,254	100,254
Net debt/(cash) (€m) - average	545	815	1,617	-1,393	-4,438	-3,507	-2,747	-3,080	-4,571	-3,964	-1,502	1,119
Enterprise Value (€m) - average	20,867	26,353	22,318	23,401	37,893	37,123	40,174	37,707	38,315	96,290	98,752	101,373
P/E (x) - adjusted	21.1	23.0	19.9	30.5	27.1	15.8	12.4	16.8	23.7	44.3	28.0	22.7
P/E FY1 (x) - adjusted	18.3	25.3	27.7	16.3	16.5	11.8	17.6	22.5	19.0	28.0	22.7	
Price/book value (x)	3.6	4.0	2.4	2.4	3.7	2.7	2.5	2.4	2.5	4.8	4.2	3.6
Price/FCF (x)	28.8	80.6	136.2	34.5	27.0	24.2	44.3	49.6	39.5	52.2	34.0	26.9
EV/Sales (x)	3.0	3.5	2.8	2.7	3.4	2.6	2.5	2.5	2.6	6.0	5.4	5.0
EV/Sales FY1 (x)	2.7	3.3	2.6	2.1	2.7	2.3	2.7	2.6	2.4	5.3	4.9	
EV/EBITDA (x)	10.3	11.9	9.9	9.6	10.6	7.4	6.5	7.6	8.6	18.8	14.5	12.7
EV/EBITDA FY1 (x)	9.4	11.6	9.2	6.5	7.5	6.0	8.1	8.4	7.5	14.9	12.8	11.6
EV/IC (x)	3.9	4.5	3.2	1.5	2.4	2.0	2.0	1.7	1.6	4.0	4.1	
Dividend yield	1.2%	1.1%	1.5%	1.4%	0.7%	0.9%	1.0%	1.1%	1.1%	0.5%	0.5%	0.5%
FCF yield	3.5%	1.2%	0.7%	2.9%	3.7%	4.1%	2.3%	2.0%	2.5%	1.9%	2.9%	3.7%
<u>Per share data (€):</u>												
EPS adj - Diluted	0.85	0.98	0.89	0.64	1.20	1.97	2.65	1.87	1.39	1.74	2.75	3.39
Dividends per share	0.22	0.25	0.26	0.27	0.22	0.27	0.32	0.35	0.35	0.35	0.35	0.35
FCF per share	0.63	0.28	0.13	0.57	1.20	1.29	0.74	0.63	0.83	1.48	2.26	2.87
Book value per share	4.99	5.70	7.42	8.08	8.76	11.48	13.08	13.24	13.12	16.12	18.38	21.27
Ratio Analysis	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
ROCE	24%	25%	22%	8%	14%	19%	25%	16%	12%	15%	20%	24%
ROIC	20%	20%	16%	7%	12%	15%	18%	12%	9%	11%	15%	18%
ROE	18%	18%	14%	9%	14%	20%	22%	14%	11%	12%	16%	17%
Interest cover (x)	30.1	35.1	33.3	24.8	20.3	27.5	36.6	31.7	27.6	22.4	25.0	53.2
Cash Conversion	85%	71%	71%	75%	85%	79%	64%	56%	72%	90%	84%	81%
Net debt/Equity	n/a	n/a	n/a	49%	34%	21%	14%	22%	31%	12%	2%	n/a
Dividend/FCF	35%	89%	201%	47%	18%	21%	43%	55%	42%	24%	16%	12%
Payout ratio (DPS/EPS)	26%	25%	29%	41%	18%	14%	12%	19%	25%	20%	13%	10%
Capex/Sales	12%	14%	16%	11%	11%	14%	17%	16%	12%	14%	14%	12%
<u>yy growth:</u>												
Sales growth	9%	8%	6%	7%	29%	29%	15%	-8%	-2%	10%	12%	11%
EBIT Adjusted growth	23%	12%	-3%	-11%	77%	63%	30%	-29%	-18%	24%	43%	21%
EBITDA Adjusted growth	11%	10%	2%	7%	48%	41%	22%	-19%	-10%	14%	33%	17%
EPS Adjusted growth		15%	-9%	-28%	87%	65%	34%	-30%	-26%	25%	58%	23%
FCF growth	45%	-55%	-52%	372%	118%	7%	-42%	-15%	32%	77%	53%	27%
Dividend growth	10%	14%	8%	10%	-15%	23%	19%	9%	0%	0%	1%	0%
<u>Margin structure:</u>												
Gross margin - Adjusted	38.4%	38.9%	38.1%	36.5%	41.4%	45.3%	47.3%	43.2%	41.4%	43.3%	46.8%	49.3%
EBIT margin (reported)	13.9%	19.3%	14.5%	6.8%	13.3%	20.0%	24.2%	14.6%	10.3%	14.4%	21.3%	23.6%
EBIT margin - Adjusted	17.1%	17.8%	16.4%	13.7%	18.7%	23.8%	27.0%	20.8%	17.5%	19.6%	24.9%	27.2%
EBITDA margin - Adjusted	28.6%	29.1%	28.2%	28.4%	32.4%	35.5%	37.7%	33.2%	30.5%	31.7%	37.5%	39.6%
PBT margin - Adjusted	27.9%	28.4%	27.2%	26.5%	31.0%	34.6%	37.6%	33.0%	29.6%	30.7%	37.7%	40.3%
Net margin (reported)	11.2%	16.0%	11.1%	4.3%	10.6%	15.4%	19.2%	11.9%	6.9%	10.2%	17.2%	19.4%
Net margin - Adjusted	13.7%	14.7%	13.0%	9.5%	14.1%	18.1%	21.3%	16.3%	12.4%	14.1%	19.9%	22.2%

Source: Company data, Morgan Stanley Research estimates

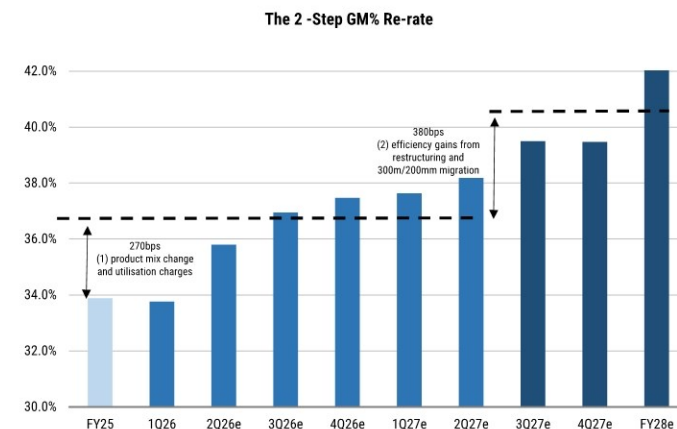
STMicroelectronics (OW, PT €74)

Reminder of our thesis: photonics and LEO upside. At our TMT San Francisco conference, STMicroelectronics outlined data centre revenue guidance of “nicely above \$500mn” in FY26 and “well above \$1bn” in FY27. At the Q1 print, they provided more granularity, identifying the \$500mn FY26 guide as split 40% power / 60% opticals. We have written extensively about the photonics opportunity and the transition from copper to optical networking in the data centre, see our Europe Insight note [Stepping Out of the Shadows – Europe's Optical Inflection](#). Our sense is that growing demand for optical networking in the data centre will drive an increasing proportion of STM's data centre revenue toward opticals. While management would not classify PIC100 as a standard product, they highlighted that it is application-standard specific, and that they are expanding capacity to support customers beyond AWS. At the last print LEO was also signalled as a strong growth driver, with management updating guidance for “well above \$3bn cumulative revenue” for the segment across 2026 to 2028. User terminals were identified as the largest contributor to revenue, with ST's BiCMOS technology a major component. **We now lift our LEO sales estimates for FY27 to \$1.25bn (prior \$1.08bn) as we expect user terminals to grow at a 52% CAGR FY26/28 (prior 36%).**

On the underlying business, the incremental step-ups last quarter were **improved visibility, structural driver developments, and better end-market dynamics**. Herein, pricing is set to improve from down low-to-mid single digits y/y to “very low LSD%”, while we see a 2-step margin recovery ahead as mix improves and unused capacity charges decline, which we detail in [The Margin Re-rate Cycle Ahead](#) and [What You Need to Know](#). Management denied comments around an order pull-in and affirmed btb “well above 1” across all end markets.

Exhibit 7: Data Centre Revenue Mix

Source: Company data, Morgan Stanley Research estimates (e)

Exhibit 8: The 2-step margin re-rate cycle

Source: Company data, Morgan Stanley Research estimates (e)

PT to €74. Outside of cyclical recovery, we see large growth drivers from optical and LEO exposure. While we upgraded the stock in March on these structural drivers, we now see it appropriate to move to valuing STMicroelectronics on a Sum-Of-The-Parts (SOTP) framework. We value the underlying business with an 18x multiple in-line with cyclical dynamics. However, we value the optical and LEO at double this multiple at 36x to reflect the structural growth potential. We move to valuing the business on FY28e due to the longer term drivers. Our SOTP framework implies €1.20 FY28e EPS for the optical and LEO business and €2.16 for the underlying business. **Discounting at a 10% WACC, this sets our PT at €74.**

STM Financials

Exhibit 9: STMMicroelectronics Annual Income Statement

Annual Income Statement	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Revenues	8,346	9,665	9,556	10,219	12,761	16,128	17,286	13,269	11,799	14,111	17,579	18,984
Cost of goods Sold	-5,075	-5,804	-5,860	-6,430	-7,435	-8,493	-8,999	-8,048	-7,801	-9,016	-10,751	-10,960
Gross profit	3,271	3,861	3,696	3,789	5,326	7,635	8,287	5,221	3,998	5,095	6,829	8,024
R&D	-1,296	-1,398	-1,498	-1,548	-1,723	-1,901	-2,100	-2,078	-2,043	-2,183	-2,242	-2,327
SG&A	-981	-1,095	-1,093	-1,109	-1,323	-1,454	-1,632	-1,649	-1,632	-1,798	-1,773	-1,730
Other income/(expenses)	-10	-31	-98	-191	-139	-160	-56	-182	148	6	-80	-104
EBIT (reported)	1,004	1,399	1,203	1,323	2,419	4,440	4,611	1,676	175	1,107	2,893	4,071
Adjusted EBIT	1,049	1,422	1,208	1,334	2,421	4,440	4,611	1,676	551	1,288	2,993	4,151
Adjusted EBITDA	1,699	2,213	2,062	2,257	3,466	5,656	6,172	3,437	2,406	2,978	4,432	5,719
Net Financials & other	-52	-10	-14	-56	-82	45	151	201	225	81	129	145
PBT (reported)	952	1,389	1,189	1,267	2,337	4,485	4,762	1,877	400	1,188	3,022	4,216
Income Tax	-143	-95	-156	-159	-331	-519	-540	-312	-220	-197	-499	-696
Net income (reported)	801	1,287	1,032	1,106	2,000	3,960	4,211	1,558	166	974	2,506	3,514
Adjusted Net Income	833	1,311	1,102	1,269	2,019	3,981	4,216	1,563	416	1,096	2,577	3,567
EPS (\$) - Basic	0.88	1.42	1.15	1.24	2.21	4.37	4.66	1.73	0.19	1.09	2.81	3.93
EPS (\$) - Diluted	0.88	1.41	1.14	1.20	2.16	4.19	4.46	1.66	0.18	1.05	2.72	3.81
Adjusted EPS (\$) - Diluted	0.92	1.44	1.22	1.38	2.18	4.21	4.46	1.66	0.45	1.19	2.79	3.86
DPS (\$)	0.24	0.24	0.24	0.19	0.23	0.23	0.25	0.32	0.36	0.37	0.37	0.37
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Sales growth - yy	20%	16%	-1%	7%	25%	26%	7%	-23%	-11%	20%	25%	8%
Gross margin	39.2%	39.9%	38.7%	37.1%	41.7%	47.3%	47.9%	39.3%	33.9%	36.1%	38.8%	42.3%
EBIT margin (reported)	12.0%	14.5%	12.6%	12.9%	19.0%	27.5%	26.7%	12.6%	1.5%	7.8%	16.5%	21.4%
EBIT margin - Adjusted	12.6%	14.7%	12.6%	13.1%	19.0%	27.5%	26.7%	12.6%	4.7%	9.1%	17.0%	21.9%
EBITDA margin	20.4%	22.9%	21.6%	22.1%	27.2%	35.1%	35.7%	25.9%	20.4%	21.1%	25.2%	30.1%
PBT margin	11.4%	14.4%	12.4%	12.4%	18.3%	27.8%	27.5%	14.1%	3.4%	8.4%	17.2%	22.2%
Net margin (reported)	9.6%	13.3%	10.8%	10.8%	15.7%	24.6%	24.4%	11.7%	1.4%	6.9%	14.3%	18.5%
Net margin - Adjusted	10.0%	13.6%	11.5%	12.4%	15.8%	24.7%	24.4%	11.8%	3.5%	7.8%	14.7%	18.8%
Effective tax rate	-15%	-7%	-13%	-13%	-14%	-12%	-11%	-17%	-55%	-17%	-17%	-17%

Source: Company data, Morgan Stanley Research estimates (e)

Exhibit 10: STMMicroelectronics Quarterly Income Statement

Quarterly Income Statement	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26e	3Q26e	4Q26e	2026e
Revenues	2,517	2,766	3,187	3,329	11,799	3,095	3,407	3,607	4,002	14,111
Cost of goods Sold	-1,676	-1,840	-2,128	-2,157	-7,801	-2,050	-2,187	-2,275	-2,504	-9,016
Gross profit	841	926	1,059	1,172	3,998	1,045	1,220	1,332	1,498	5,095
R&D	-489	-514	-502	-538	-2,043	-520	-530	-540	-593	-2,183
SG&A	-390	-420	-395	-427	-1,632	-429	-455	-446	-468	-1,798
Other income/(expenses)	41	-125	18	-82	-148	-26	-10	10	20	-6
EBIT (reported)	3	-133	180	125	175	70	225	356	457	1,107
Adjusted EBIT	11	57	217	266	551	141	275	391	482	1,288
Adjusted EBITDA	439	521	700	746	2,406	595	698	803	882	2,978
Net Financials & other	69	21	113	22	225	-17	31	33	34	81
PBT (reported)	72	-112	293	147	400	53	255	389	490	1,188
Income Tax	-13	18	-54	-171	-220	-10	-42	-64	-81	-197
Net income (reported)	56	-97	237	-30	166	37	210	323	404	974
Adjusted Net Income	63	28	262	63	416	84	244	347	421	1,096
EPS (\$) - Basic	0.06	-0.11	0.27	-0.03	0.19	0.04	0.24	0.36	0.45	1.09
EPS (\$) - Diluted	0.06	-0.11	0.26	-0.03	0.18	0.04	0.23	0.35	0.44	1.05
Adjusted EPS (\$) - Diluted	0.07	0.03	0.29	0.07	0.45	0.09	0.26	0.38	0.46	1.19
DPS (\$)	0.08	0.09	0.09	0.10	0.36	0.08	0.09	0.09	0.10	0.37
	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26e	3Q26e	4Q26e	2026e
Sales growth - qq	-24.2%	9.9%	15.2%	4.5%	--	-7.0%	10.1%	5.9%	10.9%	--
Gross margin	33.4%	33.5%	33.2%	35.2%	33.9%	33.8%	35.8%	36.9%	37.4%	36.1%
EBIT margin (reported)	0.1%	-4.8%	5.6%	3.8%	1.5%	2.3%	6.6%	9.9%	11.4%	7.8%
EBIT margin - Adjusted	0.4%	2.1%	6.8%	8.0%	4.7%	4.6%	8.1%	10.8%	12.0%	9.1%
EBITDA margin	17.4%	18.8%	22.0%	22.4%	20.4%	19.2%	20.5%	22.3%	22.0%	21.1%
PBT margin	2.9%	-4.0%	9.2%	4.4%	3.4%	1.7%	7.5%	10.8%	12.3%	8.4%
Net margin (reported)	2.2%	-3.5%	7.4%	-0.9%	1.4%	1.2%	6.2%	9.0%	10.1%	6.9%
Net margin - Adjusted	2.5%	1.0%	8.2%	1.9%	3.5%	2.7%	7.2%	9.6%	10.5%	7.8%
Effective tax rate	-18%	n/a	-18%	-116%	-55%	-19%	-17%	-17%	-17%	-17%

Source: Company data, Morgan Stanley Research estimates (e)

Exhibit 11: STMicroelectronics Annual Balance Sheet

Annual Balance Sheet	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Cash & cash equivalents	1,759	2,266	2,597	3,006	3,225	3,258	3,222	2,282	2,837	1,797	1,461	2,576
Other liquid assets	431	330	147	714	291	1,260	2,861	3,902	2,085	2,835	2,835	2,835
Trade receivables	1,149	1,277	1,380	1,465	1,759	1,970	1,731	1,749	1,745	2,001	2,436	2,531
Inventories	1,335	1,562	1,691	1,841	1,972	2,583	2,698	2,794	3,136	3,338	3,903	3,914
Other current assets (incl held for sale)	425	419	442	584	581	734	1,295	1,007	1,468	1,338	1,338	1,338
Total current assets	5,099	5,854	6,257	7,610	7,828	9,805	11,807	11,734	11,271	11,309	11,973	13,194
PP&E	3,094	3,495	4,007	4,596	5,660	8,201	10,554	10,877	11,058	11,753	13,394	14,913
Goodwill & Other Intangibles	332	333	461	775	751	702	670	636	639	1,472	1,492	1,497
Investments	57	61	11	10	10	11	22	71	152	113	113	113
Deferred tax assets	624	672	695	739	652	602	592	464	408	436	436	436
Other non-current assets	475	452	437	724	639	661	808	961	1,272	1,338	1,338	1,338
Total non-current assets	4,582	5,013	5,611	6,844	7,712	10,177	12,646	13,009	13,529	15,112	16,773	18,297
Total assets	9,681	10,867	11,868	14,454	15,540	19,982	24,453	24,743	24,800	26,421	28,746	31,492
Short-term debt	118	146	173	795	143	175	217	990	298	319	319	319
Trade payables	893	981	950	1,166	1,582	2,122	1,856	1,323	1,487	2,086	2,439	2,283
Other payables and accrued liabilities	897	874	831	966	1,101	1,385	1,525	1,306	1,440	1,438	1,438	1,438
Dividends Payable to sh/holders	60	60	58	42	55	60	54	88	89	91	91	327
Accrued income tax	52	59	52	84	68	95	78	66	37	57	57	57
Total current liabilities	2,020	2,120	2,064	3,053	2,949	3,837	3,730	3,773	3,351	3,991	4,344	4,425
Long-term debt	1,583	1,764	1,899	1,826	2,396	2,542	2,710	1,963	1,835	2,100	1,900	1,700
Pension liabilities	385	385	445	506	442	331	372	377	403	395	415	420
Long-term deferred tax liabilities	11	14	19	75	64	60	54	47	60	40	49	190
Other non-current liabilities	215	160	330	488	416	454	735	904	926	1,003	1,003	1,003
Long Term Liabilities	2,194	2,323	2,693	2,895	3,318	3,387	3,871	3,291	3,224	3,538	3,367	3,313
Total liabilities	4,214	4,443	4,757	5,948	6,267	7,224	7,601	7,064	6,575	7,529	7,711	7,737
Total net assets	5,467	6,424	7,111	8,506	9,273	12,758	16,852	17,679	18,225	18,892	21,035	23,754
Total equity	5,467	6,424	7,111	8,506	9,273	12,758	16,852	17,679	18,225	18,892	21,035	23,754
<i>Net debt:</i>												
Total Debt	-1,701	-1,910	-2,072	-2,621	-2,539	-2,717	-2,927	-2,953	-2,133	-2,419	-2,219	-2,019
Total "Cash"	2,190	2,596	2,744	3,720	3,516	4,518	6,083	6,184	4,922	4,632	4,296	5,411
Net cash/(debt)	489	686	672	1,099	977	1,801	3,156	3,231	2,789	2,213	2,077	3,392

Source: Company data, Morgan Stanley Research estimates (e)

Exhibit 12: STMicroelectronics Valuation Matrix and Ratio Analysis

Valuation Matrix (€m)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Share Price (€)	15.2	17.4	16.7	25.4	35.2	33.9	43.4	24.3	42.9	42.9	42.9	42.9
"Share Price (\$)"	16.8	20.5	19.0	28.7	41.6	37.2	46.8	26.3	26.3	26.3	26.3	26.3
Number of Shares (m)	906	904	894	895	904	906	903	901	893	893	893	893
Market Cap (\$m) - average	15,258	18,538	16,993	25,691	37,589	33,676	42,260	23,729	23,529	23,529	23,529	23,529
Net cash/(debt) (\$m) - average	501	588	679	886	1,038	1,389	2,479	3,194	3,010	2,501	2,145	2,734
Enterprise Value (\$m) - average	14,757	17,950	16,314	24,805	36,551	32,287	39,781	20,535	20,519	21,028	21,384	20,794
P/E (x) - adjusted	18.3	14.3	15.6	20.8	19.0	8.8	10.5	15.8	58.5	22.2	9.4	6.8
P/E FY1 (x) - adjusted	11.7	16.8	13.8	13.2	9.9	8.3	28.1	58.5	22.2	9.4		
Price/book value (x)	2.8	2.9	2.4	3.0	4.1	2.6	2.5	1.3	1.3	1.2	1.1	1.0
Price/FCF (x)	49.7	34.7	27.1	34.8	33.1	21.2	23.7	90.6	-452.5	27.0	42.0	11.8
EV/Sales (x)	1.8	1.9	1.7	2.4	2.9	2.0	2.3	1.5	1.7	1.5	1.2	1.1
EV/Sales FY1 (x)	1.5	1.9	1.6	1.9	2.3	1.9	3.0	1.7	1.5	1.2		
EV/EBITDA (x)	8.7	8.1	7.9	11.0	10.5	5.7	6.4	6.0	8.5	7.1	4.8	3.6
EV/EBITDA FY1 (x)	6.7	8.7	7.2	7.2	6.5	5.2	11.6	8.5	6.9	4.7		
EV/IC (x)	2.9	3.2	2.5	3.3	4.3	2.8	2.9	1.4	1.4	1.3	1.1	1.0
Dividend yield	1.4%	1.2%	1.3%	0.7%	0.5%	0.6%	0.5%	1.2%	1.4%	1.4%	1.4%	1.4%
FCF yield	2.0%	2.9%	3.7%	2.9%	3.0%	4.7%	4.2%	1.1%	-0.2%	3.7%	2.4%	8.4%
<u>Per share data (€):</u>												
EPS adj - Diluted	0.92	1.44	1.22	1.38	2.18	4.21	4.46	1.66	0.45	1.19	2.79	3.86
Dividends per share	0.24	0.24	0.24	0.19	0.23	0.23	0.25	0.32	0.36	0.37	0.37	0.37
FCF per share	0.34	0.59	0.70	0.83	1.26	1.76	1.98	0.29	-0.06	0.98	0.63	2.22
Book value per share	6.03	7.11	7.95	9.51	10.25	14.08	18.66	19.62	20.40	21.15	23.55	26.59
Ratio Analysis	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
ROCE	23%	28%	22%	19%	31%	44%	36%	13%	4%	9%	18%	23%
ROIC	18%	23%	16%	15%	24%	35%	30%	10%	3%	7%	14%	17%
ROE	17%	22%	16%	16%	23%	36%	28%	9%	2%	6%	13%	16%
Interest cover (x)	80.9	117.1	38.2	41.8	82.5	435.1	106.7	40.4	43.7	49.8	80.5	118.0
Cash Conversion	101%	120%	110%	108%	113%	109%	103%	116%	112%	92%	125%	113%
Net debt/Equity	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Dividend/FCF	70%	40%	34%	23%	18%	13%	12%	110%	-625%	37%	58%	16%
Payout ratio (DPS/EPS)	26%	17%	20%	14%	10%	6%	6%	19%	81%	31%	13%	9%
Capex/Sales	16%	13%	12%	13%	14%	22%	24%	20%	18%	16%	16%	16%
<u>yy growth:</u>												
Sales growth	20%	16%	-1%	7%	25%	26%	7%	-23%	-11%	20%	25%	8%
EBIT Adjusted growth	242%	36%	-15%	10%	81%	83%	4%	-64%	-67%	134%	132%	39%
EBITDA Adjusted growth	69%	30%	-7%	9%	54%	63%	9%	-44%	-30%	24%	49%	29%
EPS Adjusted growth	244%	56%	-15%	13%	58%	93%	6%	-63%	-73%	164%	135%	38%
FCF growth	-22%	74%	17%	18%	54%	40%	12%	-85%	-120%	-1778%	-36%	255%
Dividend growth	-15%	1%	-1%	-21%	22%	3%	5%	29%	13%	1%	0%	0%

Source: Company data, Morgan Stanley Research estimates (e)

Risk Reward – Infineon Technologies AG (IFXGn.DE)

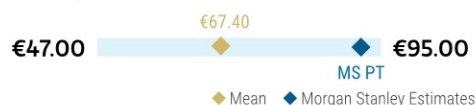
Structural Breakout Story on the Horizon

PRICE TARGET €91.00

We apply a 50x P/E multiple to the server rack contribution as we think the structural driver deserves a premium to the rest of the group. We continue to view the rest of the group as a cyclical story valuing it at 24x reflecting our view that Infineon is moving through a cycle recovery. Using a SOTP and assuming a 10% WACC, we value IFX at €91.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



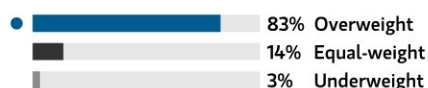
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 27 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- We view Infineon as best placed amongst European analog names for a cyclical recovery in automotive/industrial, demonstrating a superior ability to weather the headwinds facing these markets in the meantime.
- We expect new wins in autos to validate IFX's strategy (design focus, capacity build, proprietary IP). A strong IP library augurs well for GaN longer term too including use in EVs, data centres and energy storage.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Electric Vehicles: *Positive*
- Renewable Energy: *Positive*
- Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

€140.00

Solid auto growth and v-shaped economic recovery

65x P/E for the structural breakout story and 25x for the cyclical story

Scenario driven by faster than expected recovery in automotive production, especially electric vehicles, as well as faster migration to SiC based designs and higher level ADAS adoption (level 2+). Meaningful recovery in industrial through FY25. Segment margin pushes towards c.30% and new capacity adds place the company well for further expansion over the longer term. Non-GAAP EPS of €4.50 FY28e based on €25bn sales.

BASE CASE

€91.00

Cyclical recovery and server rack breakout
50x Server rack breakout story and 24x for the cyclical story

Due to potential FX and tariff headwinds, FY25 sales were down c.2% for the year before we forecast c.10% growth in FY26e, 12% growth in FY27e and 11% growth in FY28e. We model non-GAAP GM% (FY25: 41.4%) to grow to 43.3% in FY26e, 46.8% in FY27e and 49.3% in FY28e as greater autos & industrial demand along with increased utilisation levels take effect. This results in €1.74 FY26e EPS, €2.75 FY27e EPS and €3.39 FY28e EPS.

BEAR CASE

€18.00

Macro weakness and lower design wins

No structural breakout assumed so use P/E c.12x EPS of €1.50

Macro weakness is worse than expected with end demand remaining sluggish in both automotive and industrial for a prolonged period. Segment margins drop to high-teens% on higher under-utilisation charges, which drag as inventory builds up within the semi industry channels. Design win momentum with SiC stalling as does ADAS adoption. FY26e EPS fall to c.€1.5.

Risk Reward – Infineon Technologies AG (IFXGn.DE)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (%)	(2)	10	12	11
Segment Margin (%)	17.5	19.6	24.9	27.2
Adjusted EPS - Diluted (€)	1.39	1.74	2.75	3.39

CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
05 Aug 2026	Q3 2026 Infineon Technologies AG Earnings Release	
10 Nov 2026	Q4 2026 Infineon Technologies AG Earnings Release	

INVESTMENT DRIVERS

- Adoption curve of EV & ADAS technology in passenger vehicles
- Successful execution of SiC strategy in power semis; IP bolstering add-ons in GaN
- Capacity buildout sensibly balances near-term macro downturn and long-term potential

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected recovery of industrial output & consumer sales
- Longer autos semi cycle than normal & better pricing power with OEMs
- Greater deployment of power semis to the data centre than expected

RISKS TO DOWNSIDE

- Sustained weakness in global automotive sales and/or PMIs
- Capex ramp leads to over-capacity and impairs future returns
- Backlog slowdown
- Chinese designs limiting longer term share expansion

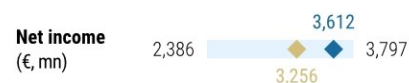
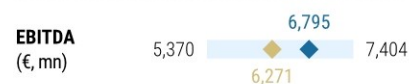
OWNERSHIP POSITIONING

Inst. Owners, % Active	64.1%	
HF Sector Long/Short Ratio	2.3x	
HF Sector Net Exposure	10.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – STMicroelectronics NV (STMPA.PA)

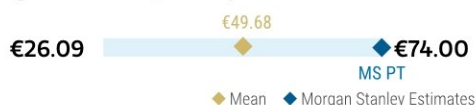
Optical and LEO upside amidst a cyclical recovery

PRICE TARGET €74.00

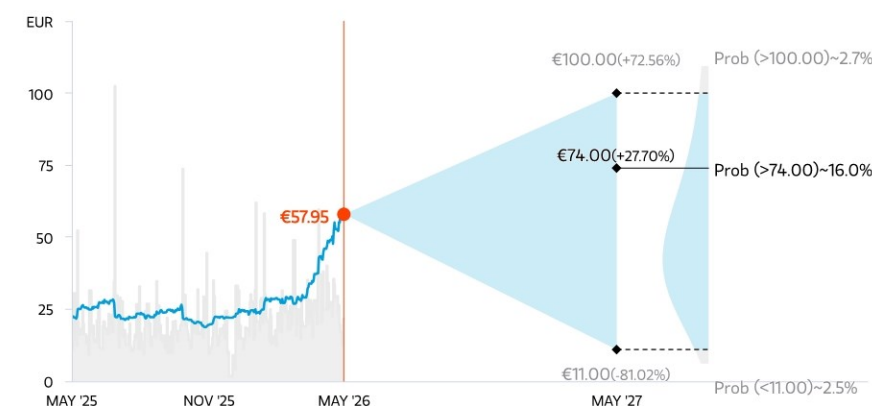
We value STM at €74/share based on a sum-of-the-parts framework. We value the underlying core business at 18x P/E multiple on FY28e EPS and the optical and LEO business on a 36x P/E multiple on FY28e EPS. Discounting using a 10% WACC, this implies a €74 PT.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



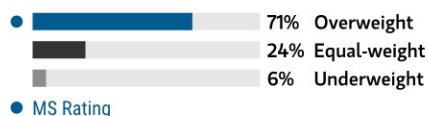
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 27 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- STM has a portfolio positioned for growth areas (BiCMOS imaging sensors, GP MCUs). We see opportunity for recovery into FY26/27.
- We expect drivers of FY27 growth to come from data centres, with a material ramp in optical revenues driven by pluggables and NPOs (2027+), as well as LEOs in the CECIP end market.
- We allow for a modest industrial recovery cycle starting 2H26.
- We see some signs of automotive recovery as ASIL-grade microcontroller (MCUs) design wins start to convert to sales (2027+).
- We think that STM warrants a 20x multiple given data centre relevance and cyclical dynamics.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: Positive
New Data Era: Positive
Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

€100.00

Significant recovery and content wins

18x 2028e EPS for the cyclical business and 36x 2028e EPS for optical and LEO

Non-GAAP EPS of \$6 for FY28e based on \$21.5bn STM revenues led by sales of MCU, imaging and power products in autos/industrials. Stock benefits from both content and volume growth, while customers replenish their inventories.

BASE CASE

€74.00

Cyclical recovery with optical and LEO strength

18x 2028e EPS for the cyclical business and 36x 2028e EPS for optical and LEO

We allow for a modest industrial recovery cycle (FY26e 29% yy) and anticipate a return of growth for the automotive segment. We see drivers of FY27 growth potential to come from data centres, with a more material ramp in optical revenues, as well as Communication Equipment and Computer Peripherals. This drives our top-line estimate of \$18.98bn for FY28 and \$3.86 adjusted EPS.

BEAR CASE

€11.00

Deeper macro weakness than expected

8x bear case 2027e EPS c.€1.39

The effects of the semiconductor sector correction are deeper and longer-lived than we have modelled. Earnings downgrades are material for ST and key growth drivers (e.g., autos \$-content) start slowing into 2027. This drives flatter yy sales in 2027 with under-utilisation charges persisting and gross margin struggling to reach 35%+, giving way to an EPS of c.\$1.62/€1.39.

Risk Reward – STMicroelectronics NV (STMPA.PA)

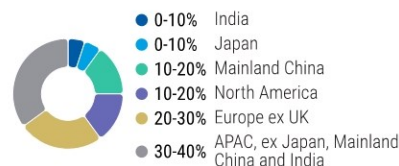
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Adjusted EPS (\$) - Diluted (US\$, mn)	0	1	3	4
Revenue growth - yy (US\$, mn)	(0)	0	0	0
EBIT margin - Adjusted (US\$, mn)	0	0	0	0

INVESTMENT DRIVERS

- Growing \$-content in vehicles - both in electrification and digitalisation
- Margins improve after inventory correction
- MCU leadership - well positioned to benefit from IoT/industrial growth.
- Data centre growth with a ramp in opticals

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market adoption of SiC
- Design wins growth across autos and industrials
- Larger than expected optical ramp in 2H26/FY27
- LEO sales materially beyond \$3bn cumulative FY26/28

RISKS TO DOWNSIDE

- Prolonged global macro weakness, drives weak autos & industrial OEM volumes
- MCU pricing weakness as inventory channel corrects
- Design socket loss/decreasing sensor content in key smartphones
- DRAM shortages impact auto sales

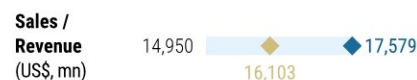
OWNERSHIP POSITIONING

Inst. Owners, % Active	60.4%	
HF Sector Long/Short Ratio	2.3x	
HF Sector Net Exposure	10.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Aixtron SE, ASM International NV, ASML Holding NV, BE Semiconductor Industries NV, Infineon Technologies AG, Nordic Semiconductor ASA, Soitec SA, STMicroelectronics NV, VAT Group AG.

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Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below. Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Infinion Technologies AG (IFXGn.DE) - As of 05/27/26 GMT in EUR
Industry : Technology - European Semiconductors



Stock Rating History: 5/1/21 : 0/I; 12/8/21 : E/I; 2/8/22 : NA/I; 11/1/22 : NA/NR; 11/7/22 : E/A; 4/3/24 : 0/A; 10/17/24 : 0/I; 10/20/24 : E/I; 2/6/25 : 0/I

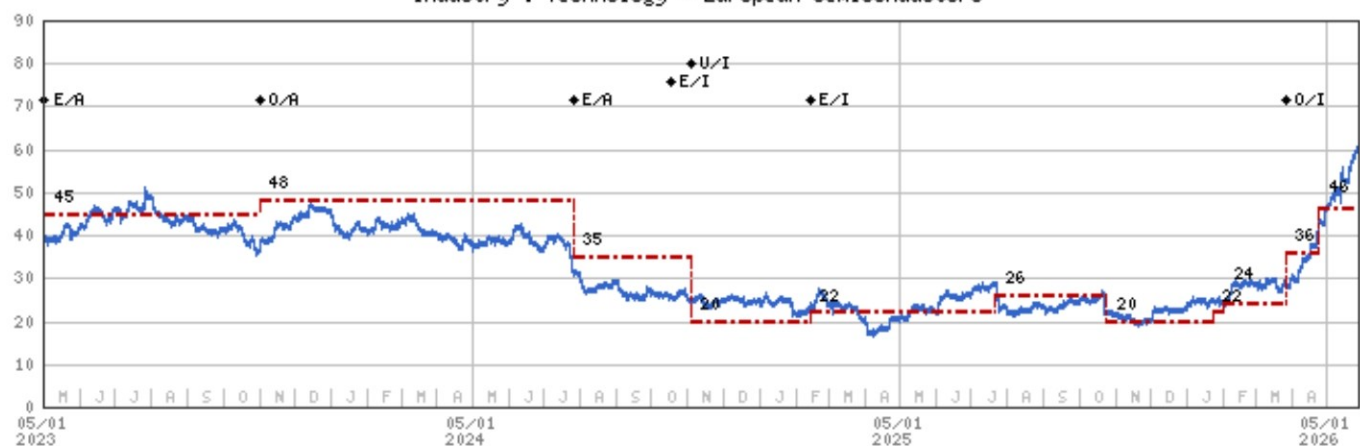
Price Target History: 4/15/21 : 38; 8/3/21 : 39; 11/10/21 : 42.5; 12/8/21 : 43; 2/8/22 : NA; 11/7/22 : 32.5; 1/31/23 : 35; 4/3/24 : 40; 5/8/24 : 45; 9/20/24 : 30; 2/6/25 : 40; 5/2/25 : 38; 10/9/25 : 36; 11/12/25 : 40; 1/23/26 : 45; 2/2/26 : 54; 4/27/26 : 58; 5/7/26 : 63

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

STMicroelectronics NV (STMPA.PA) - As of 05/27/26 GMT in EUR
Industry : Technology - European Semiconductors



Stock Rating History: 5/1/21 : 0/I; 12/8/21 : E/I; 2/9/22 : NA/I; 11/1/22 : NA/NR; 11/7/22 : E/A; 11/1/23 : 0/A; 7/26/24 : E/A; 10/17/24 : E/I; 11/3/24 : U/I; 2/13/25 : E/I; 3/26/26 : 0/I

Price Target History: 4/29/21 : 39; 8/6/21 : 40; 10/28/21 : 43.5; 12/8/21 : 44.5; 1/27/22 : 46; 2/9/22 : NA; 11/7/22 : 36; 1/30/23 : 45; 11/1/23 : 48; 7/26/24 : 35; 11/3/24 : 20; 2/13/25 : 22; 7/21/25 : 26; 10/24/25 : 20; 1/23/26 : 22; 2/2/26 : 24; 3/26/26 : 36; 4/24/26 : 46

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/27/2026)
Lee Simpson		
ASML Holding NV (ASML.AS)	O (09/22/2025)	€1,376.40

Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€76.73
STMicroelectronics NV (STMPA.PA)	O (03/26/2026)	€57.95
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€57.20
ASM International NV (ASMI.AS)	O (06/19/2024)	€894.20
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€276.40
Melexis N.V. (MLXS.BR)	E (02/05/2026)	€81.65
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	NKr 201.60
Soitec SA (SOIT.PA)	O (03/26/2026)	€154.20
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 604.60

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